Billing (Bills / Accounts Payable)

FEATURE GUIDE · PURCHASING

This guide covers the **Bills** module (Purchasing → Bills). It continues the Harbor & Vine Catering example — Maya Chen paying her suppliers.

> **What is a Bill?**
> Where an **invoice** is what you send a client, a **bill** is what a supplier sends *you*. Bills go through a workflow before payment so mistakes and fraud get caught before cash goes out the door: Create → Receive → Approve → Schedule → Pay.

Statuses

Status	Meaning
Draft	Entered but not yet marked received.
Received	Confirms the goods/services actually arrived.
In Approval	Awaiting sign-off (multi-level approval workflows only).
Approved	Reviewed and cleared to pay.
Rejected	Sign-off declined.
Scheduled	A payment date has been set.
Partial	Some, not all, has been paid.
Disputed	Amount or content is contested — held from payment.
Overdue	Due date passed, still unpaid.
Paid	Fully paid.
Void	Cancelled — reverses the original accounting entry.

Create, receive, approve, and pay a bill

Fresh Farms Produce delivers Maya's weekly ingredients and bills her $850.

1. Click **Bills** in the sidebar. Click **New bill**.
2. Vendor: **Fresh Farms Produce**. Bill number `FF-2026-06-01`. Date: today.
3. Line: `Weekly produce delivery`, Amount `$850.00`, Account `6100 — Food & Ingredients`. **Save**.

> 💡 **What just happened?**
>
> **In plain English:** Maya hasn't paid this yet, but BloomAudit records that she owes Fresh Farms $850 and that she's incurred that cost.

	Account	Amount
DR	Food & Ingredients (6100)	$850.00
CR	Accounts Payable (2000)	$850.00

Expenses go up with a debit. Liabilities (money you owe) go up with a credit.

Updated automatically: COA — 6100 increased by $850.00 · COA — 2000 increased by $850.00 · GL — new entry under both accounts.

Receive it

1. Click **Mark as received** (only available while status is Draft).

> Confirms the produce actually arrived. This is a workflow checkpoint only — no accounting change happens here.

Approve it

1. Click **Approve bill**.

> No accounting change yet — the bill is now cleared to pay. (If your tenant uses a multi-level approval workflow, the bill sits in **In Approval** until every required approver has signed off; a single **Reject bill** at any level sends it to **Rejected** instead.)

Schedule and pay

1. Click **Schedule payment** — set a payment date (e.g. end of this week). No accounting change — this only helps cash-flow planning.
2. Click **Record payment** — Amount `$850.00`, Method `Bank Transfer`, Date: today. **Save**.

> 💡 **What just happened?**
>
> **In plain English:** Cash left Maya's bank and the debt to Fresh Farms is cleared.

	Account	Amount
DR	Accounts Payable (2000)	$850.00
CR	Bank / Cash (1000)	$850.00

Updated automatically: COA — 2000 decreased by $850.00 (debt cleared) · COA — 1000 decreased by $850.00 (cash paid out) · Bill status: **Paid**.

Dispute a bill

CityLight Utilities sends a $310.00 bill, but Maya's meter reading suggests it should be closer to $260.00.

1. **New bill** → Vendor `CityLight Utilities`, Amount `$310.00`, Account `6300 — Utilities Expense`. **Save**.
2. Click **Mark as received** — the service was received, she's disputing the *amount*, not the delivery.
3. Click **Dispute bill** — reason: `Meter reading suggests ~$260, not $310 — awaiting corrected bill from CityLight.`

> Status changes to **Disputed**. It's held from payment (and excluded from **Due This Week**) until CityLight issues a corrected bill. Dispute is only blocked once a bill reaches **Paid** or **Void** — any earlier status can still be disputed.

Overdue

A second Fresh Farms bill, dated 35 days ago with a due date 5 days ago, was never paid.

1. Click **Overdue** in the Bills list — it appears automatically.
2. Click **Aging Report** — grouped by how overdue it is.
3. Click **Due This Week** — shows what's coming up so nothing is missed; the disputed CityLight bill does **not** appear here.

Void a test bill

1. Create a bill: Vendor `Fresh Farms Produce`, Amount `$1.00`. **Save**.
2. Open it. Click **Void bill**. Confirm.

> Posts the exact opposite of the original entry (DR Accounts Payable / CR Food & Ingredients for $1.00), cancelling it out. The bill stays visible with status **Void** for the audit trail.

Verify it

- [ ] The Fresh Farms bill shows status **Paid**, and account **2000 — Accounts Payable**'s ledger shows an $850 credit (the bill) followed by an $850 debit (the payment) — netting to $0 for this bill.
- [ ] The CityLight bill shows status **Disputed** and does **not** appear in **Due This Week**.
- [ ] The second Fresh Farms bill appears under **Overdue** and in the correct **Aging Report** bucket without any manual status change.
- [ ] The voided test bill shows status **Void**, and accounts 2000 and 6100 are unaffected by it once the void's reversing entry posts.
- [ ] Open **General Ledger**, filter **Module = Bill** — every entry above appears there, matching the amounts shown in this guide.

Permissions used in this guide: `bills:create`, `bills:receive`, `bills:update` (covers approve / reject / schedule / dispute), `bills:record_payment`, `bills:void`.